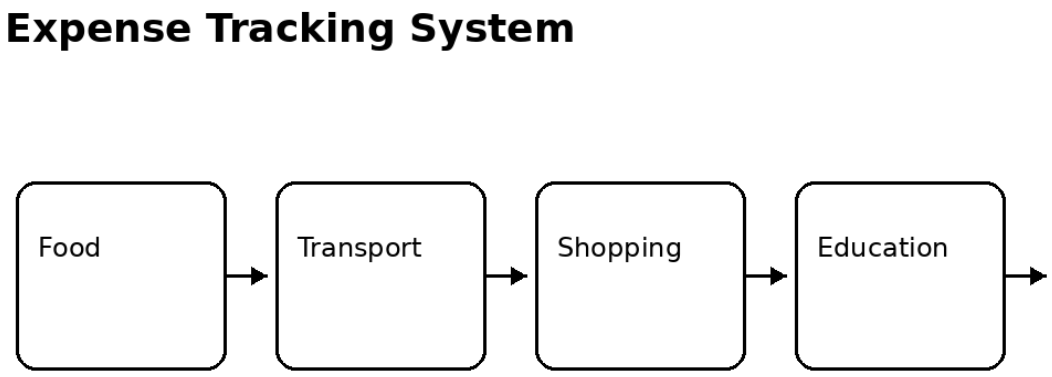
3.2 Expense Categorization

Introduction

Expense Categorization organizes transactions into meaningful groups. Common categories include food, transport, shopping, education, entertainment, utilities, and bills. Categorizing expenses makes financial records easier to understand and helps users identify the areas where most of their money is being spent.



Objectives

- Group similar expenses together.
- Make expense reports easier to read.
- Identify high-spending categories.
- Support better budgeting and financial planning.

Common Categories

- Food – meals, snacks, groceries, and restaurants.
- Transport – bus, train, taxi, fuel, and travel expenses.
- Shopping – clothes, accessories, and personal purchases.
- Education – books, stationery, fees, and learning materials.
- Entertainment – movies, games, and recreational activities.
- Utilities and Bills – electricity, water, internet, phone, and other regular payments.

Working Process

- The user enters an expense.

- The system asks for or identifies the category.
- The expense is stored under the selected category.
- The system can calculate category-wise totals.
- Reports and charts can display spending by category.

Sample Expense Table

Category	Example Expense	Purpose
Food	Lunch / Groceries	Daily food spending
Transport	Bus / Auto	Travel expenses
Shopping	Clothes	Personal purchases
Education	Books	Study expenses
Entertainment	Movie	Recreation
Utilities	Electricity	Household services
Bills	Phone bill	Regular payments

Sample Python Coding

```
# Expense Categorization
categories = [
"Food", "Transport", "Shopping",
"Education", "Entertainment",
"Utilities", "Bills"
]

expense = input("Enter expense category: ").title()

if expense in categories:
print("Category:", expense)
print("Expense categorized successfully.")
else:
print("Category not found. Add a new category.")
```

Conclusion

This module improves the organization of personal financial information. When combined with the other expense tracking modules, it provides a simple and systematic way to record, categorize, and analyze expenses.